stability. But branching will be free for all scheduled domestic commercial banks except the poorly managed.

There has been a fair amount of public attention devoted to new bank licences. The RBI will give out new bank licences as soon as consistent with the highest standards of transparency and diligence. We are in the process of constituting an external committee. Dr Bimal Jalan, an illustrious former Governor, has agreed to chair it, and the committee will be composed of individuals with impeccable reputations. This committee will screen licence applicants after an initial compilation of applications by the RBI staff. The external committee will make recommendations to the RBI Governor and Deputy Governors, and we will propose the final slate to the Committee of the RBI Central Board. I hope to announce the licences within, or soon after, the term of Deputy Governor Anand Sinha, who has been shepherding the process. His term expires in January 2014.

We will not stop with these licences. The RBI has put an excellent document on its website exploring the possibility of differentiated licences for small banks and wholesale banks, the possibility of continuous or 'on-tap' licensing, and the possibility of converting large urban co-operative banks into commercial banks. We will pursue these creative ideas of the RBI staff and come up with a detailed roadmap of the necessary reforms and regulations for freeing entry and making the licensing process more frequent after we get comments from stakeholders.

Finally, our banks have a number of obligations that pre-empt lending, and in fact, allow what Dr Rakesh Mohan, an illustrious former Deputy Governor, called 'lazy banking'. One of the mandates for the RBI in the Act is to ensure the flow of credit to the productive sectors of the economy. In this context, we need to reduce the requirement for banks to invest in government securities in a